

Market Research Checklists



1. **Questions for Entrepreneurs.** The following questions can be used to guide your secondary source research, and as you interview successful entrepreneurs in markets related to but not identical with the market you plan to enter:

- How have you defined your market?
- How do you determine potential customers?
- How many customers are in your market?
- What is your expected and/or wanted penetration rate?
- What are the characteristics of your customers?
- How do you determine your customers' needs?
- What are your unique selling points, opportunities, strengths, weaknesses and threats in meeting these needs?
- Why do they buy? What is the basis for their decision?
- When do they buy: time of day, week or year, e.g., "major buying season is six months before their major selling season"?
- How do they buy: describe a typical sale, e.g., is the product normally purchased in lots of 12 dozen, OR largely an impulse item, OR with an "average purchase price of \$12.50"?
- Why choose this industry? Product? Why target this customer?
- How do you determine the buyer/person to contact?
- Is the payer the decision maker?
- How do you establish face-to-face meetings?
- How do you promote your firm?
- Where do you advertise?
- Is your market defined by:
 - Neighbourhoods
 - Small towns
 - Cities
 - Regions
 - States/Provinces
 - Nation(s)
 - International region/globe
 - Web-based communities
- How long did it take you to get your first order/contract? To receive your first payment?
- How much starting/working capital would you recommend?

2. **Other Research Resources.** Demographic information may be required to confirm your assumptions about your customers and your choice of location. Such information can usually be obtained from one or more of the following:

- Chamber of Commerce
- Country, state, province or county government
- Community business associations
- Public library and/or internet
- Office park, mall or large shopping centre managers

3. **Questions About Industry Direction.** When looking at an industry as your target market, it is critical to determine the direction in which the industry is headed. Consider the following as you employ both published resources and your network of contacts:

- Is the industry outsourcing certain functions?
- Is the industry stagnant and in need of aggressive planning and ideas for new markets?
- Is the industry behind in the areas of automation? Computer systems? Technology?
- Does the industry need a change in direction to avoid becoming obsolete?

You will also want to test your assumptions about key industry issues/problems with questions about such factors as:

- Growth rate
- Technology
- Products/Services
- Quality
- Price structures
- Methods of marketing/distribution
- Legislation/liability
- Location of customers/suppliers
- Changes in customer characteristics

4. **Commercial Market Competitive Information.** As you analyze your competition for commercial, governmental, institutional or industrial customers, look for information about each competitor such as:

- Product or service area
- Sales volume
- Location
- Market share
- Methods of marketing
- Distribution channels
- Sales organization
- Pricing history or process
- Price comparisons
- Quality comparisons
- Differences in product/service lines
- Management styles
- Corporate structure
- Sources of supply
- Customer types and key customers
- Strengths and weaknesses
- Who are the industry innovators and why?
- Is the status of "approved vendor" is required?
- What are the specifics of the approval process?
- How might your business qualify as a preferred vendor?